



What Health Insurance to Buy

A Health Insurance Policy would normally cover expenses reasonably and necessarily incurred under the following heads in respect of each insured person subject to overall ceiling of sum insured (for all claims during one policy period).

- a. Room, Boarding expenses
- b. Nursing expenses
- c. Fees of surgeon, anesthetist, physician, consultants, specialists
- d. Anesthesia, blood, oxygen, operation theatre charges, surgical appliances, medicines, drugs, diagnostic materials, X-ray, Dialysis, chemotherapy, Radio therapy, cost of pace maker, Artificial limbs, cost of organs and similar expenses.

Sum Insured

The Sum Insured offered may be on an individual basis or on floater basis for the family as a whole.

Cumulative Bonus (CB)

Health Insurance policies may offer Cumulative Bonus wherein for every claim free year, the Sum Insured is increased by a certain percentage at the time of renewal subject to a maximum percentage (generally 50%). In case of a claim, CB will be reduced by 10% at the next renewal.

Cost of Health Check-up

Health policies may also contain a provision for reimbursement of cost of health check up. Read your policy carefully to understand what is allowed.

Minimum period of stay in Hospital

In order to become eligible to make a claim under the policy, minimum stay in the Hospital is necessary for a certain number of hours. Usually this is 24 hours. This time limit may not apply for treatment of accidental injuries and for certain specified treatments. Read the policy provision to understand the details.

Pre and post hospitalization expenses

Expenses incurred during a certain number of days prior to hospitalization and post hospitalization expenses for a specified period from the date of discharge may be considered as part of the claim provided the expenses relate to the disease / sickness. Go through the specific provision in this regard.

Cashless Facility

Insurance companies have tie-up arrangements with a network of hospitals in the country. If policyholder takes treatment in any of the net work hospitals, there is no need for the insured person to pay hospital bills. The Insurance Company, through its Third Party Administrator (TPA) will arrange direct payment to the Hospital. Expenses beyond sub limits prescribed by the policy or items not covered under the policy have to be settled by the insured direct to the Hospital. The insured can take treatment in a non-listed hospital in which case he has to pay the bills first and then seek reimbursement from Insurance Co. There will be no cashless facility applicable here.

What is Critical illness policy:

A Critical Illness benefit policy provides a fixed lumpsum amount to the insured in case of diagnosis of a specified illness or on undergoing a specified procedure. This amount is helpful in mitigating various direct and indirect financial consequences of a critical illness. Usually, once this lump sum is paid, the plan ceases to remain in force. However, continuation of coverage to other critical illnesses is subject to terms and conditions of policy contract.

Additional Benefits and other stand alone policies

Insurance companies offer various other benefits as “Add-ons” or riders. There are also stand alone policies that are designed to give benefits like “Hospital Cash”, “Critical Illness Benefits”, “Surgical Expense Benefits” etc. These policies can either be taken separately or in addition to the hospitalization policy.

A few companies have come out with products in the nature of Top Up policies to meet the actual expenses over and above the limit available in the basic health policy.

Exclusions

The following are generally excluded under health policies:

- a. All pre-existing diseases (the pre-existing disease exclusion is uniformly defined by all non-life and health insurance companies).
- b. Under first year policy, any claim during the first 30 days from date of cover, for sickness / disease. This is not applicable for accidental injury claims.

During first year of cover – cataract, Benign prostatic hypertrophy, Hysterectomy for Menorrhagia or
c. Fibromyoma, Hernia, Hydrocele, Congenital Internal diseases, Fistula in anus, piles, sinusitis and related disorders.
- d. Circumcision unless for treatment of a disease
- e. Cost of specs, contact lenses, hearing aids
- f. Dental treatment / surgery unless requiring hospitalization

Convalescence, general debility, congenital external defects, V.D., intentional self-injury, use of intoxicating
g. drugs / alcohol, AIDS, Expenses for Diagnosis, X-ray or lab tests not consistent with the disease requiring hospitalization.
- h. Treatment relating to pregnancy or child birth including cesarean section
- i. Naturopathy treatment.

The actual exclusions may vary from product to product and company to company. In group policies, it may be possible to waive / delete the exclusions on payment of extra premium.

No short period policies

Health insurance policies are not issued for less than one year period.